Driving Economic Growth: The Role of Investment, Inflation Stability and Foreign Direct Investment - Executive Summary

Introduction

This analysis examines the relationship between GDP growth, Gross Fixed Capital Formation (GFCF), inflation, and Foreign Direct Investment (FDI) over the period of 18 years. This analysis is done on 8 different countries: Australia, Austria, Belgium, Canada, Czech Republic, Denmark, France and Spain. The findings indicate that economic growth is primarily driven by investment, with higher levels of capital formation consistently associated with stronger GDP performance.

Insights and Findings

FDI plays a critical supporting role by injecting capital, technology, and expertise, thereby enhancing investment capacity. This is seen in the large investments made in almost all the countries. However, its volatility suggests inconsistent investor confidence, which may contribute to uneven growth patterns. Inflation remains relatively stable at the rate of 1.4% to 2.7% across all countries, with Australia having the highest percentage and France having the lowest percentage. GFCF tells us a different story as it shows that countries may have enough funds but have declining economic growth. We can also see the difference in the GDP growth across the countries with the highest being 2.7% for the Czech Republic and the lowest being 0.9% for France and Denmark. Overall, supporting economic activity, although periodic fluctuations highlight potential risks to macroeconomic stability.

Conclusion

Overall, the results demonstrate a clear dynamic: investment drives growth, FDI strengthens investment, and stable inflation sustains the growth environment. To achieve consistent economic performance, policymakers should prioritize strategies that promote capital formation, maintain inflation stability, and create a conducive environment for sustained foreign investment inflows. Foreign direct investment acts as a catalyst by increasing capital formation which leads to economic growth.